Strategy and HR Analytics
Group Report

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Sony Corporation

Problem Statement: Declining sales of PlayStation consoles and the rise of mobile gaming and AR/VR.

Executive Summary

As a Strategy consultant of Sony Corporation, we've looked at the current business strategy and HR using SWOT analysis and PESTLE analysis. We retrieved key data from Forbes, Financial Times, NY times, The verge etc, reviewing the data made us to determine that the problem statement is declining sales of PlayStation and the rise of mobile gaming. After carefully studying the current strategy and standings recommendations were mentioned, that could solve the ongoing challenge.

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Business Strategy:

Internal Analysis (SWOT)

From the internal analysis we could understand that the main strengths of Sony are innovation, brand image and quality, the major opportunities for Sony are

mobile gaming, EV, entertainment industry and problems could rise due to competition for major players in the respective industries.

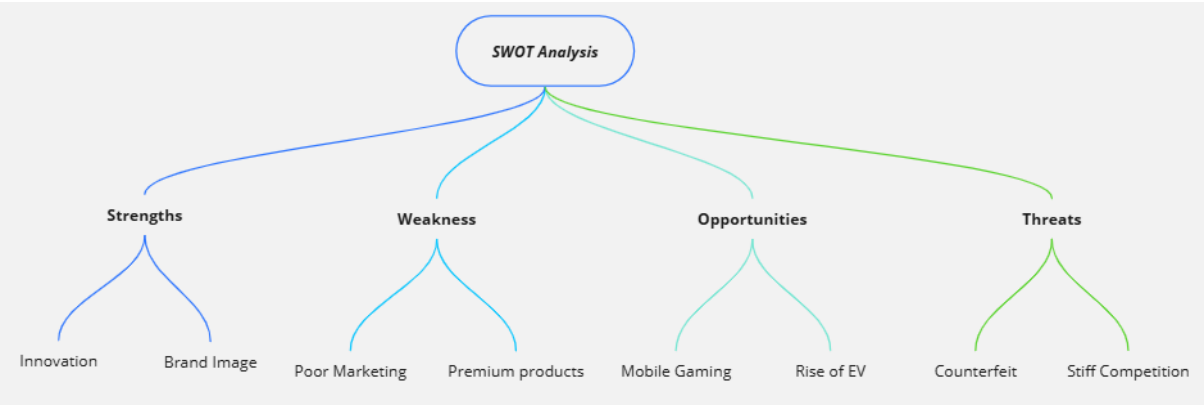


Fig 1.1

External Analysis (PESTLE)

External analysis provides an external view of what could impact the business strategy. Notable findings that could impact the sales of the PlayStation are environmental laws, support for renewable energy, technology trends, labour costs, economy growth and inflation rate.

Political	Economical	Social
• Taxation • Wage legislation • Mandatory employee benefits	• Labour costs • Economy growth rate • Inflation rate	• Work culture. • Leisure interests • Entrepreneurial sprit
Technological	**Environmental**	**Legal**
• Technology trends • Rate of technology diffusion	• Environmental laws • Support for renewable energy	• Employment law • Data protection law

Fig 1.2

Diagnosis of problem statement

Covid19 and the gaming industry

Covid19 nearly doubled the revenue of the gaming industry but most of the revenue is from PC games and mobile games, even though the console games revenue is rising it's not promising as many games are multi-platform supported and many are preferring PCs this resulted in declining sales of PlayStation 5.

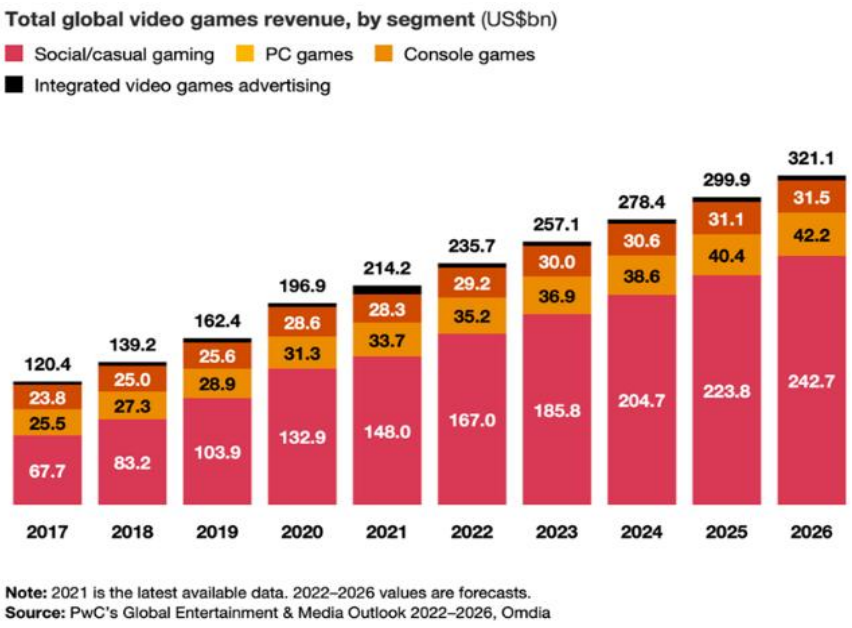


Fig 1.3

Rise of Mobile gaming

Mobile gaming industry become very popular in the recent years due to the option of playing games anywhere, affordable mobiles and expensive setup needed for PCs and consoles.

Microsoft entered the mobile gaming world with acquisition of Activision Blizzard, Facebook already have in app gaming option and now Google is experimenting in app gaming inside the YouTube application.

Even though Sony acquired Savage Games Studios in the year 2022 (now renamed to Neon Kai) it still hasn't entered the market and falls behind the competitors.

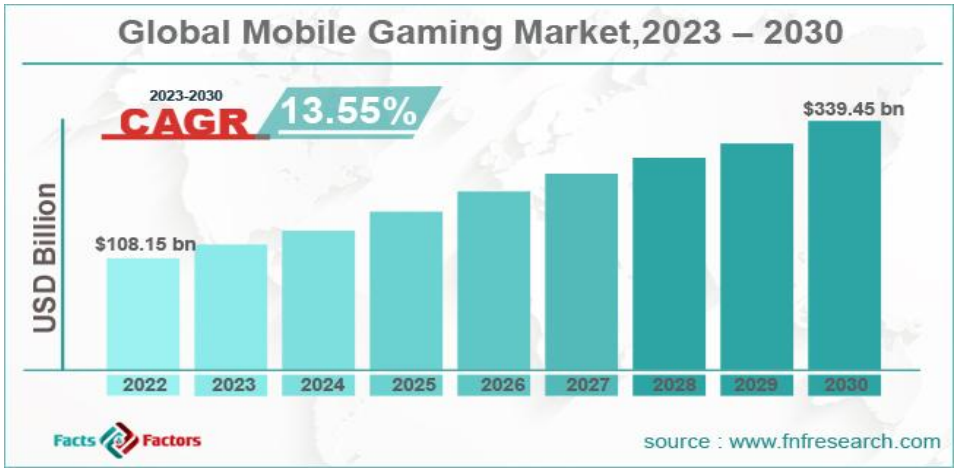


Fig 1.4

Rise of AR/VR

AR and VR become popular during the Covid times the Facebook announcement of rebranding itself into Meta Inc and the launch of Apple Vision Pro looks very promising that AR/VR has a very big future in the gaming industry.

Sony launched PlayStation VR2 in the year 2023 but it can be only used by the gamers who have PlayStation 5 this restricted its sales and made it falls behind Meta Quest.

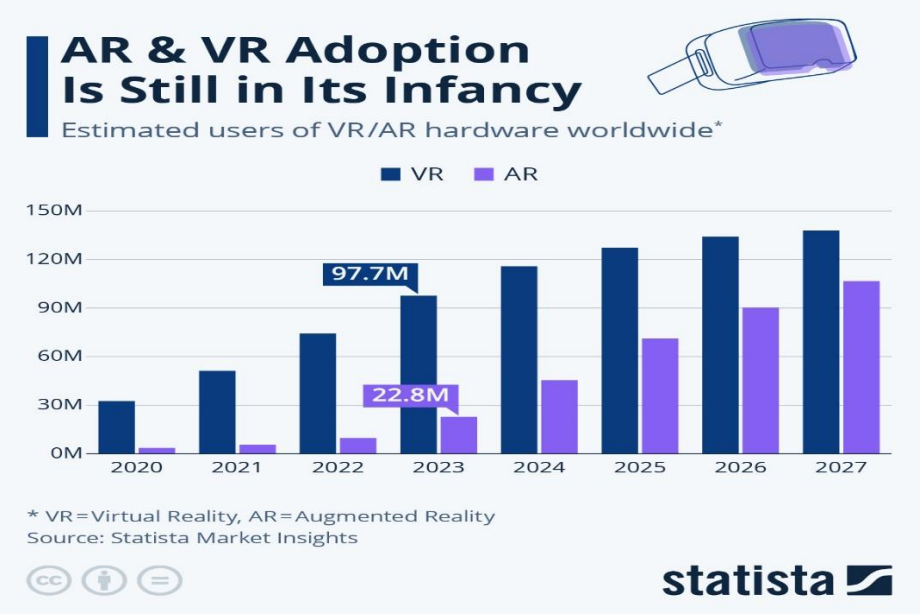


Fig 1.5

Recommendations

Xbox as a Service

In the recent interviews Microsoft's Gaming CEO named that," Xbox is a Service it's not consoles or the hardware".

This is very clear that Microsoft will stop selling Xbox consoles one day and offer them as a service via Cloud and they might make their games available on other platforms, they already made games like Minecraft available on PlayStation.

Meta Quest

Meta Quest become a popular VR headset as its backed by Meta and have multiple VR offerings from games to Microsoft 365 and all the Meta platforms like Facebook.

Other Competitors Analysis

Netflix launched many mobiles exclusively games based on Netflix original shows for all their subscribers, this helps them to attract more users and expand their offerings in one single subscription.

Apple launched Arcade a subscription-based gaming service available on all its products.

Facebook Gaming became go to place for simple and easy to play games as it's built inside the Facebook application we don't need any additional app downloads.

YouTube Playables launched a week ago for few users which is very much like Facebook Gaming but with more big game studio titles like Angry Birds.

Amazon Luna is a cloud-based gaming service which makes anyone to play big games like Fortnite on any device with good internet.

What Sony should learn from its competitors:

PlayStation Plus to PlayStation as a Service

Sony should consider making PlayStation as a service instead of focusing on consoles and console exclusive games. PlayStation can be expanded into all screen gaming subscription service or a mobile only plan which can help Sony to bring new gamers and compete with well-grounded mobile game studios.
Sony is one of the biggest production houses in the industry, they can utilize the movie titles like M.I.B into games, just like Spiderman games. This can help them to reach new gamers and the people who never played games.

PlayStation VR for everyone

PlayStation VR2 works only with PlayStation 5 this restricts more users and the opportunity to acquire more market share in the VR industry,

making PlayStation VR a standalone device can help to get more market share in the VR industry with one big company Meta and newbie Apple. Sony can add more immersive VR experiences and workplace platforms like Microsoft 365, this will help general VR audience to get into the ecosystem of PlayStation.

Diversification of Revenue

- **AI Division**

  Sony should heavily invest in its AI division to enhance user experience in PlayStation, Bravia TV, Xperia mobiles and even in automotive sector through their recent Sony-Honda joint venture, the enhanced AI user experience can help Sony to create an ecosystem from gaming to automotive sector.

- **Cross-Industry Expertise**
  Sony's cameras improve live and post-lecture engagement can be analogous to improve live-streaming and social interaction features in games, SRG cameras support adaptive learning environments this can help Sony to develop adaptive gaming environments that responds to player behaviour making games more personalized and engaging across devices.



Fig 1.6 (Sony-Honda's Afeela the first prototype)

HR Analysis

Sony is one of the companies which have most successful HR strategy.

- **Employee Engagement**

One of the key strategies of Sony is ensuring high levels of employee engagement. By promoting a sense of ownership and inclusiveness, Sony

cultivates a work environment where individuals feel valued and motivated to contribute their best.

- **Talent Acquisition and development**

Sony recognizes the importance of attracting and retaining top talent. The company employs multi-faceted talent acquisition strategy. Sony actively seeks out for brightest minds to fuel its continuous growth and innovation.

Porters 5 Rule Analysis

1. Threat of New Entrants

Barriers to Entry: High capital investment in technology and brand development is required to enter the console gaming market. Sony has a strong brand presence with PlayStation, making it challenging for new entrants.

Economies of Scale: Established companies like Sony benefit from economies of scale in production and distribution.

Regulation and Compliance: The gaming industry is subject to various regulations regarding content and distribution, which can deter new entrants.

2. Bargaining Power of Suppliers

Number of Suppliers: Sony relies on multiple suppliers for components of its gaming consoles. The scarcity of high-quality components (e.g., semiconductors) can increase supplier power.

Uniqueness of Service: Certain components might have fewer suppliers, giving those suppliers more power over pricing and terms.

Switching Costs: Switching suppliers can be costly and time-consuming due to the need for maintaining quality and performance standards.

3. Bargaining Power of Buyers

Number of Buyers: The end consumers are numerous, but major retailers and distributors can exert significant power.

Price Sensitivity: Consumers can be very price-sensitive, especially with cheaper alternatives like mobile gaming on the rise.

Availability of Substitutes: The presence of alternative gaming options like PC and mobile gaming enhances the bargaining power of buyers.

4. Threat of Substitutes

Alternative Products: Mobile gaming and PC gaming are significant substitutes for console gaming. These alternatives offer flexibility and often lower costs.

Switching Costs: For gamers, switching from console to mobile or PC gaming can involve learning new platforms and potentially investing in new equipment, but this is increasingly less of a barrier.

Relative Price Performance: Mobile and PC gaming often provide comparable performance and gaming experiences at competitive prices, posing a strong substitute threat.

5. Industry Rivalry

Number of Competitors: The gaming industry has several strong competitors, including Microsoft (Xbox) and Nintendo, creating a highly competitive environment.

Rate of Industry Growth: While the overall gaming market is growing, the console segment is experiencing slower growth compared to mobile gaming.

Product Differentiation: Exclusive games and superior technology (e.g., PlayStation 5's hardware) help Sony differentiate its products, though exclusivity is lessening as many games are now multi-platform.

Conclusion

Sony faces significant challenges from the increasing popularity of mobile gaming, high supplier power due to component scarcity, and strong competition within the industry. Strategic recommendations would include enhancing the PlayStation ecosystem to integrate more with mobile gaming trends, ensuring a stable supply chain for critical components, leveraging exclusive content to maintain a competitive edge, and diversifying the revenue streams by focusing on AI, EV and leveraging cross-industry expertise.

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Appendix

Internal Analysis (SWOT)

Strengths

- **Industry Leader in Innovation and Product Development**
  Sony established themselves as a pioneer by creating new products like Walkman, PlayStation, Blue-Ray disc, Crystal LED TV etc, this made Sony to create a strong impact on people's life and their innovative products made companies like Apple to be their customer.
- **Quality Products**
  Sony's huge investment on R&D has enabled the company to provide high quality products consistently, this created a very strong loyal customer base, for example Sony's PlayStation loyalty program has ensured that users can never think of switching to competitors.

Weakness

- **Poor Marketing**
  Compared to competitors like Microsoft and Samsung, marketing efforts of Sony is weak and couldn't be able to create an impact on consumers, this resulted in the declining sales of Xperia mobiles and their exit from Indian market.
- **Expensive Products**
  Most of Sony's products are not considered to be fairly priced by consumers, and thus many consumers feel that they aren't getting their money's worth, which has led to the company losing loyal consumers, as well as turning away new ones.

Opportunities

- **Diversify Offerings**
  Even though Sony's PlayStation is an industry leader, they lack diversification, the demand for mobile gaming is increasing but still Sony is not into mobile gaming.
- **Rise of EV**
  The rise of EV made Sony to partner with Honda and formed a joint venture to manufacture EV they launched their first car in the Auto Expo, but it should launch as soon as possible to compete with competitors.

- **Acquisitions**
  Sony could acquire innovative startups to expand their footprint and gaining market share in new markets.

Threads

- **Increasing Counterfeit**
  Fake products stand 3.3% of global trade and continues to rise as Sony has many premium products they became a primary target for counterfeiters.
- **Stiff Competition**
  From LG in TVs to Samsung, Apple in mobile and Microsoft in gaming consoles, Sony is facing stiff competition from huge companies in all of its major revenue making division, Sony can lose profitability as new and old competitors up their game.

Resources

Sony boasts a diverse portfolio of resources including advanced technological infrastructure, strong brand equity, substantial financial assets, and a robust intellectual property library with patents in electronics, gaming, and entertainment. It also has a highly skilled workforce and a global distribution network.

Capabilities

Sony's capabilities encompass cutting-edge research and development, innovative product design, efficient supply chain management, and effective marketing strategies. The company excels in integrating hardware and software across its products and services, leveraging its expertise in entertainment and technology sectors.

Core Competencies

Sony's core competencies lie in its ability to create synergy between its electronics, gaming, and entertainment divisions. This integration enables it to deliver unique and high-quality consumer experiences, foster continuous innovation, and maintain a competitive edge in the global market.

Valuable

Sony's advanced technological infrastructure, strong brand reputation, and extensive intellectual property portfolio are valuable assets that drive

innovation and customer loyalty, providing a competitive advantage in electronics, gaming, and entertainment.

Rare

Sony's unique combination of high-quality content creation, proprietary technologies, and market-leading positions in multiple sectors (like PlayStation in gaming) makes its resources rare and difficult for competitors to match.

Inimitable/Costly to Imitate

Sony's integration of hardware, software, and content creation is inimitable due to its deep expertise, extensive R&D investment, and long-standing industry relationships, making replication prohibitively expensive for competitors.

Non substitutable

Sony's ability to deliver integrated consumer experiences across gaming, electronics, and entertainment is non substitutable, as few companies can match its breadth and depth in these interconnected markets.

Organization

Sony's organizational structure and culture effectively capture the value of its resources and capabilities, ensuring efficient utilization and continuous innovation, thus maintaining its competitive edge and market leadership.

Is the resource or capability Valuable?	Is the resource or capability Rare?	Is the resource or capability Inimitable?	Can the Organisation capture the value of the resource or capability?	Competitive Consequences	Performance Implications
No	No	No	No	Competitive disadvantage	Below-average returns
Yes	No	No	Yes	Competitive parity	Average returns
Yes	Yes	No	Yes	Temporary competitive advantage	Average returns to above-average returns
Yes	Yes	Yes	Yes	Sustained competitive advantage	Above-average returns

Fig 1.7

External Analysis PESTLE Analysis

Political

- Bureaucracy and interference
- Legal framework for contract enforcement
- Anti-trust laws related to espionage.
- Pricing regulations
- Taxation
- Wage legislation
- Mandatory employee benefits

Economical

- Government intervention in the market
- Exchange rates and stability of country's currency
- Education level in the economy
- Skill level of workforce in top notch technology
- Labour costs
- Economic growth rate
- Unemployment rate
- Inflation rate

Social

- Work culture.
- Entrepreneurial sprit
- Demographics and skill level of population
- Attitudes
- Leisure interests

Technological

- Technology's impact on product offerings
- Recent trends in Technology
- Rate of technological diffusion

Environmental

- Laws regulating environmental issues.
- Attitude towards green products
- Support for renewable energy.

Legal

- Employment law

- Health and safety law
- Data protection
- Discrimination law